

Subject: Respondent's Summary of Key Issues in Dispute for Mediation

Dear Mediator,

We act for Zhi Yu Engineering Company, the Respondent in this matter, and set out below the key issues in dispute from our client's perspective.

1. Delays Caused by External Factors Beyond Respondent's Control

The project experienced delays due to industry-wide supply chain disruptions affecting delivery of tiles, waterproofing materials, and fixtures, as well as severe weather conditions that rendered construction unsafe or impractical. These issues were promptly communicated to the Claimant.

2. Material Substitutions Were Necessary and Professionally Reasonable

Certain material substitutions were unavoidable due to shortages. The Respondent maintains that all substituted materials were comparable in quality and compliant with industry norms, and that the Claimant verbally consented during on-site discussions.

3. Additional Costs Resulting from Client-Requested Variations

The Claimant requested multiple design and layout changes, which required additional labor, materials, and time. These variations necessitated additional charges that were reasonable and appropriately documented.

4. Outstanding Final Payment

An amount of HKD 660,600 remains unpaid from the final invoice dated 10 January 2025, despite completion of the relevant work..pdf)

5. Respondent's Counterclaim

The Respondent seeks HKD 1,256,100 comprising:

- HKD 660,600 unpaid balance
- HKD 535,500 for unapproved but client-requested scope changes
- HKD 60,000 resulting from on-site interference causing idle labor and delay

6. Quality of Work Affirmed by Independent Inspection

Allegations of substandard workmanship are disputed. An independent inspector's report confirms the materials and workmanship meet contractual requirements and industry standards.

Our client remains willing to resolve the matter amicably through mediation and is committed to participating in good faith.

Yours sincerely,

Linda Cheng

Senior Partner

Cheng & Associates

Legal representative for **Zhi Yu Engineering Company**